25900058 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCECO100 - ESSENTIALS OF ECONOMICS - II

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Neuroeconomics is [K] / [CO2]

   a). An interdisciplinary field combining neuroscience, psychology, and economics to study decision-making

   b). A branch of behavioural economics

   c). A branch of psychology

   d). All the above

2. Ultimatum Game is [K] / [CO2]

   a). Behavioural experiment game

   b). Irrationality Game

   c). Both a and b

   d). None of the above

3. What is a common trade-off when implementing policies to improve fairness? [U] / [CO4]

   a). Increased inflation.

   b). Reduced economic efficiency.

c). Lower government spending. d). Higher unemployment rates.

4. How do social norms influence our preferences? [U] / [CO4]

a). By encouraging independent decision-making

b). By creating societal expectations that shape choices

c). By limiting economic growth

d). By increasing financial risks

5. Market where new securities,such as stocks and bonds are invested [K] / [CO5]

a). Primary market

b). Money market

c). Secondary market

d). All the above

6. The secondary market is a platform in which [U] / [CO5]

a). Only earlier allotted securities are being traded among investors.

b). Investors trade in new securities

c). Individually cannot participate

d). None of these

7. RBI issues currency notes on the basis of [K] / [CO5]

a). Minimum reserve

b). General reserve

c). Proportional reserve

d). Gold reserve

8. PPI is primarily used to: [K] / [CO6]

a). Measure inflation at the production level

b). Estimate retail price trends

c). Analyze monetary policy effectiveness

d). Track changes in consumer spending habits

9. The method that sums the value of all final goods and services produced in the economy is called: [K] / [CO6]

a). Income method b). Product (Output) method

c). Expenditure method d). Capital method

10. Which of the following statements is true? [U] / [CO6]

a). GDP at factor cost is always greater than GDP at market price

b). GDP at market price includes taxes but excludes subsidies

c). NNP at market price is equal to GDP at factor cost

d). Indirect taxes do not affect the calculation of GDP

[1x10 = 10]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **3** marks

11.	Explain how signaling can address asymmetric information.	[U] / [CO3]
12.	Explain the functions of Capital Market	[K] / [CO5]
13.	What are the key functions of a stock exchange?	[U] / [CO5]
14.	How does the equality of saving and investment lead to equilibrium in the two-sector model?	[K] / [CO6]
15.	What is the concept of "peer pressure" in economic decision-making?	[U] / [CO4]
16.	Explain path dependence.	[U] / [CO2]
17.	Explain the agency function of commercial bank.	[U] / [CO5]
18.	What is the money market?	[K] / [CO5]
19.	Define cyclical unemployment.	[K] / [CO6]
20.	How does fiscal policy promote economic stability?	[U] / [CO6]
21.	What is Formal Financial Sector	[U] / [CO5]
22.	How does rationality conflict with revenge?	[U] / [CO4]
23.	Write the names of any three types of NBFIs in India.	[K] / [CO5]
24.	What is financial services ?	[U] / [CO5]
25.	Provide an example of a government policy that addresses moral hazard in the insurance market.	[A] / [CO3]

[3x10 = 30]

Part C

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

26.	How does adverse selection impact market efficiency in both the insurance and used car markets?	[U] / [CO3]

27. Explain the characteristics of a good financial system [K] / [CO5]

28. Define nominal interest rate and describe its characteristics. [K] / [CO6]

29. What are the features of financial instruments? [U] / [CO5]

30. Discuss the positive and negative economic consequences of peer pressure. [An] / [CO4]

31. Discuss the functions and significance of the stock exchange in the financial market. [An] / [CO5]

32. Write briefly about the objectives of monetary policy. [K] / [CO6]

33. Explain briefly the different methods of calculating national income. [U] / [CO6]

34. Compare the functions of the money market and the capital market. [An] / [CO5]

35. Explain how moral hazard can affect the insurance market and provide potential solutions. [U] / [CO3]

[6x5 = 30]